

America Makes — where we stand, and what we need from you

For Barb Ewing · Monday 14 September 2026 · Computed from the 2025 general ledger, not estimated. Detail:
WP_AM_RESTATEMENT_IF_ACCEPTED.md

What we found

YBI bills America Makes labour at a **loaded rate** — about **1.77× what the person actually costs** in wages and fringe. That extra is indirect recovery, but it sits *inside the labour line* and nothing says so. Meanwhile all four agreements elect the **10% de minimis** indirect rate, which is charged separately and openly.

So the numbers are broadly fine; **the disclosure is not**. That is the finding. The rate we would propose instead is on page 2.

The money, if we restate 2025

CONTRACT	CEILING	BILLED 2025	SUPPORTED BY COST	DIFFERENCE
Last Tactical Mile	899,500	368,222	475,906	+107,684 to claim
Drive AM	1,103,594	579,241	520,455	(58,786) owed back
Hybrid Phase 2	512,409	191,638	132,166	(59,472) owed back
Total		1,139,101	1,128,526	(10,575) net give-back

We recovered 100.9% of our full cost in 2025 — no windfall. Two contracts over-collected, one under-collected, and they roughly cancel. They stay three separate conversations: a single “\$10,575” tells NCDMM nothing and looks like we are hiding both halves.

Why it is still worth doing

\$203,790 a year. A loaded labour rate recovers indirect only on labour. It cannot touch subcontracts, consultants, materials or travel — where most of our award spending sits. A proper rate reaches it, so **the recurring value is roughly twenty times the one-off**.

The catch, and it is the real negotiation

A contract ceiling caps direct *and* indirect together, and today's budgets give almost all of it to direct. If NCDMM accepts our rate but leaves the ceilings unchanged, the direct budget shrinks by **\$674,367 — about 28% less programme delivered for the same money**.

So the ask is **accept the rate and move the ceilings**. Accepting the rate quietly and delivering the original scope is where we are now, in a new costume.

Three things must happen before we approach them

1. Kelly's square footage	Our rate reads 43.99% only because no building is measured. At a realistic tenant share it is 37.67% and the give-back grows to \$60,108 — so restating first would mean over-claiming on a rate <i>we proposed ourselves</i> .
2. Certifications — 0 of 43 signed	Restating makes labour the audited cost rather than a rate, so we lean <i>harder</i> on it. The pre-filled timesheets are ready for people to review and sign.
3. Drive AM's \$92,876	We billed that much more in materials and travel than the ledger supports. Either our cost record is short or the billing over-claimed — and it sits underneath our largest credit.

What we need from you on Monday

1. **Do we raise the two credits ourselves?** Yes, I recommend — first and unprompted. An organisation that brings its own over-recovery to the table is one whose \$107,684 claim gets read generously. Them finding it for us is the bad version.
2. **Who opens the conversation with NCDMM, and when?** Nothing should go out before items 1–3 above are closed. Realistically that is weeks, not days.
3. **Can you push the 43 certifications?** They are your people, and this is the longest lead time on the list.
4. **Nobody has looked at 2024.** The awards began in 2023 and 2024. If they were billed the same way, the same exercise applies. Do you want us to look?

One sentence: A proper indirect rate is worth about \$200,000 a year going forward and costs about \$10,000 in one-off 2025 adjustments — but only if the ceilings move with it, and only after we measure the buildings and get the timesheets signed.

The rate we would propose, and what it rests on

Page 2 · From the same sealed 2025 classification as page 1. Classifications were locked *before* any rate was calculated, so the rate cannot have been worked backwards from a desired answer.

How the 43.99% is built

Four rates, two numbers each — a **pool** of cost and a **base** it spreads across. Every pool is the sum of classified ledger lines.

RATE	POOL OF COST	WHAT IS IN IT	SPREAD ACROSS	RATE
Fringe	401,784	Benefits, payroll taxes, 401k, BWC	1,835,047 payroll register	21.90%
Overhead	1,497,879	Occupancy, facilities, shared services	4,736,602 modified total direct cost	31.62%
G&A	585,876	Administration, incl. admin salaries	the same 4,736,602	12.37%
Combined indirect	2,083,755	Overhead + G&A	the same 4,736,602	43.99%

43.99% combined is the single number we would quote NCDMM. Fringe is quoted separately at 21.90%, because it is charged on salaries rather than on total cost.

What the \$4,736,602 base is made of

COMPONENT OF MODIFIED TOTAL DIRECT COST (MTDC)	AMOUNT
Direct programme cost — consultants, subcontracts, materials, travel	2,425,193
Direct salaries, and the fringe on them	1,914,564
Fundraising activity	281,204
Unallowable activity	115,641
Total base	4,736,602

Fundraising and unallowable activity are in the base on purpose: they must carry a fair share of overhead even though no sponsor pays for them. Leaving them out would spread the same overhead across fewer dollars and push the rate *up*.

Both judgments you agreed are visible here. Administrative salaries — \$264,445, or \$322,358 with fringe — are excluded from the base and sit in the **G&A pool** instead of being their own project. And consultants are in the base as direct cost, below.

Consultants are direct cost, and that is what recovers

The label matters in front of a sponsor: this is direct *contractor* cost, not direct labour. Labour is our payroll; consultants are purchased services. 2 CFR 200.331 allows two readings:

READING	WHAT IT MEANS	COUNTS IN THE BASE	OUR COMBINED RATE
Contractor — our position	They deliver into YBI's programme, against YBI's scope. We select, scope and administer.	in full	43.99%
Subrecipient	They carry out part of a federal programme in their own right.	first \$25,000 each	50.23%

The largest instance is **5227 Portfolio consulting — \$588,539 net over 442 transactions and 72 providers**, where YBI pays a provider for a portfolio company and bills half back. On the America Makes contracts, consultants were **\$233,900 on LTM** and **\$15,000 on Hybrid** in 2025.

The direction is the opposite of what it sounds like. Treating consultants as direct cost makes the base *bigger*, which makes our rate *lower* — 43.99% rather than 50.23%. It is the more conservative of the two readings, not the aggressive one.

And it is the treatment that recovers. Selecting a consultant, scoping the engagement, administering payment and carrying half the cost is real administrative work — and that work is exactly what the G&A pool pays for. Calling the money a “pass-through” and taking it out of the base would forgo recovery on the very activity the administration exists to perform.

What is not yet in this rate

The carve-out comes off it. 43.99% still includes occupancy cost for space our tenants use, because no building is measured. Once Kelly's numbers arrive that share comes out and the rate falls to about **37.67%**. Largest open item, and it moves the rate *down*.

Depreciation is the other one. Federally funded assets cannot be depreciated against federal awards and our asset register has no funding-source column. At the outer bound — all of it unallowable — the rate falls to 22.08%.

Fringe does not move. 21.90% is anchored at both ends — the P&L's six benefit accounts over the payroll register — so none of the above touches it.